

10/7/26 DCA — ENTRY PACK (DRAFT FOR FINAL REVIEW)

Built 10/6/26 from your slate (DCA_Execution_SLATE_10-07-2026_V1, 10:36 ET). Prices are 10/6 quotes: SLB \$50.16, VEEV \$285.65. Nothing has been written to the live workbook; every workbook change below was rehearsed on a scratch copy (recalc 0 errors, audit clean apart from the two standing scoring_verification findings). These are your rulebook's outputs on your data, not a recommendation; every call below is yours.

Bottom line

- SLB does not clear the implied-return tests on consensus-based inputs: Base +6.2% against the >10% bar, Bear -9.4% against ≥0% (Rule 12). The Entry Checklist reads DO NOT ENTER.
- VEEV clears the implied-return tests (Base +12.5%, Bear +1.9%). Rule 14 passes on trailing figures (40.4x) and fails on FY26 figures (50.6x) — which basis counts is your call. Its size rests on the Moat call (Moat 4: cap 4% = \$28.8K; Moat 3: 2% = \$14.4K).
- Cash floor (Rule 18) with the real balances: the slate leaves 3.98% cash, about \$7.4K short of 5%. VEEV alone leaves 6.8%.
- Found on the way: the Entry Checklist's Rule 14 formula reads the wrong columns, so it never actually tested the 50x ceiling (details in section 5). The fix is part of the draft.

1. Rule 18 cash floor, with the real balances

Portfolio \$720,089 at the latest closes after the 10/6 SPMO sale, using the slate's balances (Fidelity cash \$24,367, Chase core cash \$11,408) and the workbook's \$36,854 VMFXX. Pre-trade cash, SPMO proceeds included: \$77,237 (10.7%). Current Positions overstates Fidelity cash by about \$15K (the personal withdrawals), so its own 5.9% post-trade figure is not usable.

Scenario	Buys	Cash after	% of portfolio	Against the 5% floor (\$36.0K)
As slated: SLB 400 + VEEV 100	\$48.6K	\$28.6K	3.98%	short by \$7.4K
VEEV 100 only	\$28.4K	\$48.8K	6.78%	clear by \$12.8K
As slated, plus about 49 more SPMO shares sold	\$48.6K	\$36.1K	5.0%	at the floor, no cushion
As slated, plus about 72 more SPMO shares sold	\$48.6K	\$39.7K	5.5%	clear by \$3.7K

SPMO is \$153.38; 70 sh remain at Fidelity and 76.9 at Chase. The withdrawals also need adding back in the Drawdown Log (the 9/30 entry did the same): I need the amounts and dates.

2. VEEV — Part 10 free cash flow by hand, and the Rule 14 ceiling

Part 10 deducts stock comp and capitalized costs. SEC's feed has no purchases-of-PP&E fact for VEEV, which is why the trailing-12-month tool refused; the cash-flow statement's investing lines reconcile to net investing (-\$1,104.4M in FY26) with only the \$29.1M software/capex line, so I treated that line as total capex.

\$M	FY26 (to 1/31/26)	TTM (to 7/31/26)	Source
Cash from operations	1,415.2	1,665.5	10-K FY26; 10-Q Q2 FY27 (FY + 6M – prior 6M)
Capex incl. capitalized software	(29.1)	(26.7)	XBRL PaymentsForSoftware
Stock-based compensation	(472.7)	(494.6)	cash-flow statement
FCF after stock comp	913.4	1,144.2	Part 10 definition
Per share (161.9M sh)	\$5.64	\$7.07	
P/FCF at \$285.65	50.6x	40.4x	market cap \$46.25B; net cash \$7.1B not credited
Price at which P/FCF = 50x	\$282	\$353	

Reading: the Rule 14 ceiling is passed on trailing figures with room (40.4x), and failed on FY26 figures today (\$285.65 is above the \$282 line; the exception needs consensus FCF growth above 30%, and consensus is about 12.5%). My reading is trailing, because the rule speaks of the current multiple and the FY26 year ended eight months ago; the System's own policy (10/5) keeps fiscal-year figures as the record for scores, so you may prefer that. The sheet shows either outcome depending on the P/FCF typed. The Fed overlay (P/FCF above 40x, –1% max size) applies on either basis (40.4x is barely over).

3. VEEV Moat re-check (Open Items #24)

Rubric cross-check	Evidence	Read
(a) Pricing power above CPI without volume loss	Not disclosed. The Q2 FY27 release says nothing on pricing or retention.	not evidenced
(b) Gross margin vs industry	75.5% in FY26, up from 71.3% in FY24 (10-K).	support only (rubric)
(c) Retention / switching costs	GxP-validated deployments; 12 of top-20 biopharmas committed to Vault CRM (+2 in Aug), 5 live, >180 customers live; top-10 customers a steady 28% of revenue.	evidenced
(d) Share trend, 3+ years	Management says 'over 70%' CRM share against ~80% of seats in earlier third-party counts; Salesforce has Takeda, Pfizer, AstraZeneca, Novartis (third-party sources); third-party pages put the end of the Salesforce-platform wind-down at 12/31/2029.	mixed

New since 10/2: nothing I could find that changes the evidence. The primary source remains Veeva's 8/26/26 release (revenue \$928.0M, +18%; subscription \$766.8M, +16%; 12 top-20 commitments; FY27 revenue guide \$3,682–3,687M). Third-party pages disagree on counts (one says 14 top-20 commitments; the company says 12), so I used the company's.

Rubric read, unchanged from 10/2: one clean check (c), so a strict 4 is not met; 3 is defensible, and 4 holds only if you count gross margin or the mixed share trend. Composite: Moat 4 / Visibility 5 = 81.6 STRONG BUY; Moat 3 / Visibility 5 = 78.6 BUY; Moat 4 / Visibility 4 = 79.6 BUY; Moat 3 / Visibility 4 = 76.6 BUY. Visibility is the thin one too: subscription is 82.6% of Q2 revenue (83.5% a year ago, 84.0% for FY26) against the 80% line.

Caps at today's \$720.1K: Moat 4 (STRONG BUY, Fed -1%) = 4% = \$28.8K, so 100 shares fit up to \$288/share; Moat 3 (BUY, Fed -1%) = 2% = \$14.4K, about 50 shares.

4. Implied-return tests (Base >10%, Rule 12 Bear ≥0%, Rule 13 tags): the numbers for the calculator rows

	Case	Yr-5 FCF/sh	Terminal P/FCF	Cum. distrib/sh	Implied annual	Tag
SLB	Base	\$3.63	16.8x	\$6.65	+6.2%	Likely
\$50.16	Bear (trough)	\$1.82	13.6x	\$5.90	-9.4%	Possible
	Bull	\$5.00	17.7x	\$7.05	+13.7%	Possible
VEEV	Base	\$12.73	40.4x	\$0	+12.5%	Likely
\$285.65	Bear	\$9.57	32.7x	\$0	+1.9%	Possible
	Bull	\$15.16	44.5x	\$0	+18.7%	Possible

SLB inputs (cyclical, so normalized): TTM FCF after stock comp \$4,211M (CFO \$6,533M – capex \$1,979M – SBC \$343M) = \$2.84/sh, 17.7x; normalized to the five-window mid-cycle margin (×0.878) = \$2.49; growth 7.8%/yr per share (consensus revenue +5.7%/yr plus ~2% buybacks); terminal 16.8x, the lower of today's 17.7x and the 2022–25 year-end median; dividends \$1.18 growing 4%. Bear (trough-cycle): revenue flat, FCF margin 6.7% (the five-window low less the wider capex deduction), buybacks ~2%/yr, terminal 13.6x (the 2022–25 low), dividend flat. Bull: 12%/yr, terminal = current. Net debt \$8.7B (debt \$12.8B, cash \$4.1B), not deducted separately because P/FCF is on market cap; no acquisition or nonrecurring adjustments; USD.

VEEV inputs: TTM FCF after stock comp \$1,144M = \$7.07/sh, 40.4x; Base growth 12.5%/yr (consensus EPS \$8.10 FY26 → \$10.25 FY28, already per share, so buybacks are in it); terminal = today's 40.4x (the FY23–26 year-end median of 58.5x is higher, so the cap is the current multiple); Bear growth halved to 6.25% with a terminal at 81% of current (the same ratio V and COST used) and stays ≥0% down to a 29.9x terminal; Bull +4 points of growth, terminal 1.1× current. Net cash \$7.1B not credited; Copli (\$81.8M) immaterial; USD. The tags are my proposals.

What SLB would need: Base clears 10% only with per-share FCF growth of about 9.3%/yr or more at a 16.8x terminal (consensus ≈ 7.8%), or a terminal of 20x at 6% growth. Base return by growth and terminal multiple:

Un-normalized TTM FCF/sh \$2.84	13.6x	16.8x	17.7x (current)	20.0x
6% growth	+3.0%	+7.0%	+8.0%	+10.5%
8% growth	+4.8%	+8.9%	+9.9%	+12.4%
10% growth	+6.5%	+10.7%	+11.8%	+14.3%
12% growth	+8.3%	+12.6%	+13.7%	+16.3%

The Bear cannot clear at \$50 under a trough assumption: it needs Year-5 FCF/sh × multiple of about \$44, which at a 13.6x trough multiple means FCF/sh \$3.26, 15% above today's. Only a written structural-change case, approved by you, would move SLB past these tests.

5. What I would write to the workbook after your OK (rehearsed on a scratch copy)

Entry Checklist — extend EntryChecklistTable to A2:S51 (rows 48–51 = KGS, ABT, SLB, VEEV, same formulas as row 47; KGS and ABT carry no inputs). Inputs, as typed constants like V's row:

Row	F Rule 9	G Rule 10	I Rule 11	J in thesis	O P/FCF	P cons. growth	Result
50 SLB	Y	Y	Y (Q3 print 10/23)	Y	17.7	4.7%	Base and Bear tests FAIL, the rest PASS → NO / DO NOT ENTER
51 VEEV	Y	Y	N	—	40.4	12.5%	all PASS → YES / Initiate: Standard initial size

Implied-Return Calculator — rows 51 (SLB) and 52 (VEEV) with the section 4 figures; tag drop-downs and PASS/FAIL colours extended to row 52. Action Items E28/E29 ranges extended to row 51 (they stopped at 47; the audit caught it). Schema Reference C34 and C58 updated.

Rule 14 formula fix (Q3:Q51). The existing formula reads N (the Rule 13 tag check) as the P/FCF and O (the real P/FCF) as the growth rate, and L (Base case) where Rule 14(b) names the Bear case:

=IF(OR(N="",O=""),"",IF(N<=50,...,IF(AND(O>0.3,L="PASS"),...))). The word "OK" is never <= 50, so whenever the Base case passed it printed "PASS — exception met", whatever the multiple (V's row says that although its 34.4x is under 50x): the ceiling was never enforced. The fix keeps the structure and points it at O, P and M. Existing rows: V becomes "PASS — within ceiling" and stays YES; COST stays FAIL; nothing else has a P/FCF typed.

6. Other gates, refreshed

- S&P 500 at a new high (7,840 vs 7,799 prior): baseline tranche, no multiplier. Macro: only the Fed-tightening overlay is active (fed funds 3.88 vs 3.62 six months ago: +0.26 against the 0.25 trigger, so a 0.01 change flips it); curve not inverted, HY spreads under 600, SPY above its 200-week MA.
- Staging: both above their 200-week MA (SLB +13%, VEEV +34%) with positive monthly MACD, so standard size; no Rule 5. Rule 38 (10/5 data): SLB max 0.61 (SCHD), VEEV 0.51 (ADBE). Sectors after the buys: Healthcare 8.4%, Energy 2.8%.
- Rule 11: SLB reports 10/23 (16 days out); VEEV 11/18 unconfirmed (Yahoo 11/25). Monitor: VEEV carries 'DUE — insider activity' from a 9/16 sale that predates the 10/2 scoring; SLB is -10.5% from its 9/13 score price (\$56.06), under the ±15% watch line.

7. After the fills (I do these when you report them)

- Current Positions: the 10/6 SPMO sale (Fidelity 100 → 70 sh) and the real cash balances; new rows for the buys (row insertions, so I rehearse first and you re-open it in Excel); Drawdown Log add-back of the withdrawals.
- Performance Tracking: one System lot per purchase (`perf\_tab.add\_lot`); the SPMO sale is a partial sale of a baseline lot, which `close\_lot` does not do yet, so I split the lot first.
- `landry prices add` for each new ticker (Price History, Returns, Correlation Matrix), Monitor Category → Owned plus `monitor stamp`, Journal entry, Process Checklist rows 45–55, Open Items #24.

8. For you before the open

1. SLB: drop it, resize it, or write the structural-change case? (As drafted it fails the Base and Bear tests, and dropping it also fixes the cash floor.)
2. VEEV Rule 14 basis: trailing (40.4x, passes) or FY26 (50.6x, fails today)?
3. VEEV Moat: 3 or 4. It sets the size cap (\$14.4K or \$28.8K), and 100 shares fit the 4% cap only up to \$288.
4. Cash floor: which route (SLB out, more SPMO, or smaller buys), and the withdrawal amounts and dates.
5. Approve the workbook writes in section 5, including the Rule 14 formula fix; I refresh prices at the open and re-run the gates.

Sources: Veeva Q2 FY27 release (8/26/26); Veeva 10-K FY26 and 10-Q Q2 FY27 (SEC XBRL); SLB and consensus via yfinance and the SEC TTM tool; third-party CRM coverage (low tier) for the Salesforce wins.